Question 1(f)

Explain **one** impact of technology on the manufacture of vehicles.

Mark scheme

Question Number	Answer	Mark
1(f)	**A01 - 3 marks** Award 1 mark for identification of an impact of technology on production, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Fewer people required to work in the factories doing repetitive jobs **(1)** people get bored doing these jobs and make mistakes **(1).** Less employees bring the cost of goods down **(1).** • More robots are manufacturing the vehicles than previously **(1)** this means that the vehicles can be manufactured in any country **(1)** therefore the business could move to a cheaper country **(1).** Answers that list three impacts with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

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Exemplar response A

technology could have a positive impact on the manufacturing of vehicles as it could speed up the process. This is because machinary created by technology could build cars quicker than a human, with no mistakes or errors. This would have a positive impact as it mean the business would create more cars in a shorter amount of time, and it would have more product to sell.

Examiner's comments:

This response was given 3 marks.

The response shows an understanding that using technology means cars could be produced faster, and this point is then developed by the comment 'with no mistakes or errors'. The final mark is given for the comment that technology would have a positive impact on the business and would create more cars in a shorter time. A number of responses tended to give two impacts of technology as opposed to one, and the consequence of this was that they could not gain the full marks available.

Exemplar response B

~~the last~~ The technological impact could be that the company has less expenses as it has to spend less on wages for employees meaning they would be able to afford better quality land and/or machinary & potentially giving them an increased profit

Examiner's comments:

This response was given 1 mark.

This particular response mentioned that technology would reduce the spending on wages for employees, which is a valid comment. If the final comment on profit had been developed, further marks could have been awarded.

Question 1(g)

Analyse the importance of good public relations for *Tata Motor Company.*

Mark scheme

Question Number	Indicative content	Mark
1(g)	**AO2 = 3 marks AO3 = 3 marks** **<u>AO2</u>** • *Tata Motor Company* highlights that it helps the local community with building schools/working on the environment. • *Tata Motor Company* also invests heavily in the health and welfare of people and the community. **<u>AO3</u>** • The public are more likely to think highly of *Tata Motor Company* if it is using the profits from its business to help local communities. • If there is any bad publicity about the vehicles sold then it could have a negative effect on the business.	**(6)**

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Exemplar response A

Customer loyalty will be Improved because having good public relation like building schools Tata Motor Company will attract the society because they will think the business cares about the society thus improved Customer loyalty will lead repeat buying.

Tata Motor Company will have strong brand name ~~this will help~~ because they will be well known for their welfare for local people therefore they will have Market for their Vehicle hence they will get high Market share.

Examiner's comments:

This response was given Level 3 – 5 marks.

This response is relevant to good public relations, and does refer back to the scenario in the paper with regard to building schools. The comment is further developed to say that the business cares about society and this does help to improve customer loyalty. The second paragraph refers to the welfare of local people but the comment could have been developed further to move the response into the top of Level 3.

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Exemplar response B

Good public relations is extremely important for Tata motor Company as it could increase their amount of customers. This is because customers will feel more comfortable and attracted towards Tata motor Company, which will increase their chances of shopping there. This will create more revenue for Tata as more customers will create more sales.

Another reason why good public relations will be important for the business is because it will create exposure for the business. This is because existing customers will spread the business to potential customers. This could allow Tata motor Company to expand as there will be more demand for the business in other areas.

Examiner's comments:

This response was given Level 2 – 3 marks.

A number of the responses seen confused public relations with customer loyalty, also commenting on how Tata could maintain customer loyalty.

If candidates had referred back to the scenario at the front of the paper, it may have helped them to answer this question. The details about working in the community, and building schools and houses, are all to do with the public, so this type of work should result in good public relations for the company.

The response mentions the increase in customers, which is a valid point, and this is then developed by reference to the fact that customers are more likely to shop there.

The comment in the second paragraph with regard to exposure of the business is also a valid application.

This was placed at the bottom of Level 2 as the response did not develop or analyse the comments made sufficiently to move into the next level.

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Question 2(d)

Explain **one** reason why a business would use job production.

Mark scheme

Question Number	Answer	Mark
2(d)	**A01 - 3 marks** Award 1 mark for a reason to use job production, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Job production is used to produce a unique piece of work. **(1)** It is made to meet the exact needs of the customer **(1)** that requires time and skills of the employees **(1).** Answers that list three reasons with no explanation will get a maximum of 1 mark. NB No marks are awarded for a definition. **Accept any other appropriate response**.	**(3)**

Exemplar response A

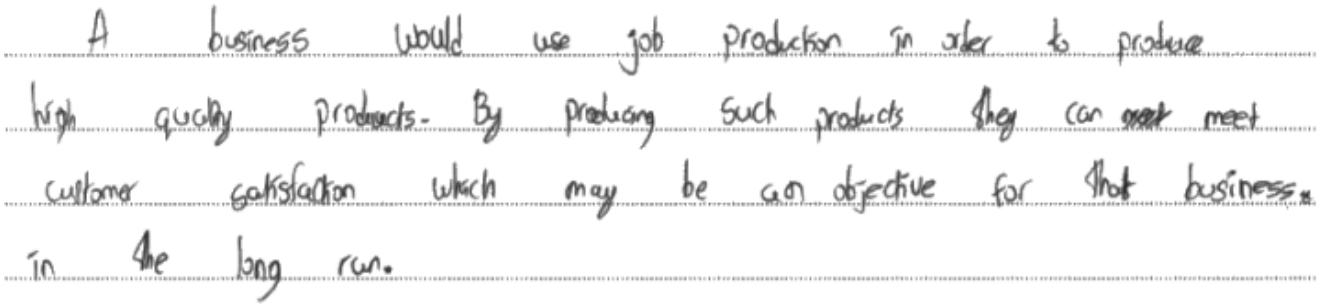
Job production is flexible. It is highly responsive to consumers needs and wants. Customers will be able to request specific designs and styles of a product according to their tastes. For obtaining a product unique to the consumer, the consumer will be willing to pay high prices.

Examiner's comments:

This response was given 2 marks.

The comment about being flexible is not developed or related to anything in particular, so therefore is not worthy of a mark. The second sentence about being highly responsive to consumer needs and wants is relevant and applicable, and worthy of a mark. The second mark is gained for the development of the comment that the consumer will have to pay a high price for this specific design. To have gained the final mark available the candidate could have mentioned the time taken to make the items and/or the skill and labour required of one person.

Exemplar response B



Examiner's comments:

This response was given 2 marks.

The comment with regard to producing high-quality products is relevant and this is then developed by the comment regarding customer satisfaction, gaining 2 marks. If the response had then given a further development or comment on cost, it could have gained the final mark.

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Question 2(f)

Tata Motor Company uses difference pricing strategies. It is considering **two** options for the launch of a new vehicle.

Option 1: cost plus
Option 2: promotional.

Justify which **one** of these two options *Tata Motor Company* should use.

Mark scheme

Question Number	Indicative content	Mark
2(f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – With cost plus pricing *Tata Motor Company* know that the cost of making the vehicle has been covered. • **Option 2** – If *Tata Motor Company* uses promotional pricing it is a good strategy for selling new vehicles. **AO3** • **Option 1** – *Tata Motor Company* knows that if the cars are selling well it is making money, which means more profit for the business. • **Option 2** – The lower price from the promotional price will result in higher sales. **AO4** • **Option 1** – Although this type of pricing method guarantees a profit on the cost of manufacturer it does not guarantee that sales are going to be made, especially if a competitor is cheaper, therefore selling more vehicles. **Option 2** - Even though the sales may be higher, the profit per vehicle will be lower.	**(9)**

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Exemplar response A

Cost plus pricing is a good pricing strategy, ~~as~~ it is a percentage on cost which is added to the cost to give the price. One advantage to this is that it ensures all costs are covered, ~~so~~ this is beneficial as Tata ~~would have~~ may have spent a lot on R&D research and development for this new vehicle. Cost plus pricing ensures they will get it back. ~~To add to that it could encou~~

Promotional pricing may not be the best option as Tata is already a well established brand in India and don't need loss leaders to attract customers, to add to that ~~they~~ ~~car~~ when a consumer buys a car, they expect to ~~incur~~ incur a large expense, therefore ~~physological~~ physcological pricing ~~wouldn't be~~ ~~s~~ and ~~dist~~ discounts wouldn't be suitable.

However, ~~with~~ when using cost plus pricing there are some problems. One, is the this pricing strategy ignores market conditions, so if all other cars ~~$~~ in the industry^ (eg: Suzuki or Bajaj) are more generously priced then consumers will switch to competitors. Also ~~if the~~ ignores the elasticity of demand for cars, ~~if~~ cars are elastic and ^it they charge a high price, as there many ~~substitu~~ substitutes consumers will switch. ~~Plus~~ This will reduce revenue.

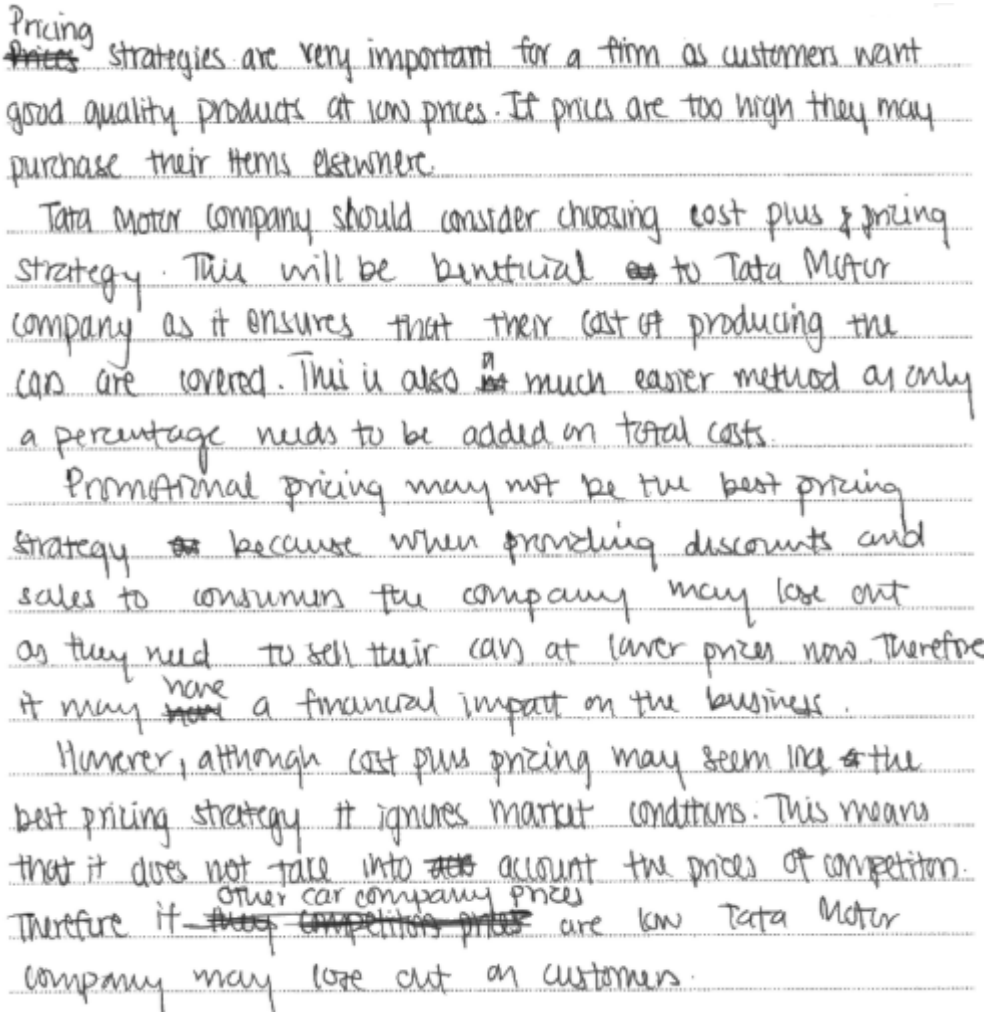
(Total for Question 2 = 20 marks)

Examiner's comments:

This response was given Level 3 – 7 marks.

Comments relating to a description of what each of the two options are should be avoided, as there are no knowledge marks available for this question. The response clearly shows an understanding of the two methods of pricing and the impact upon the business and its customers. Justification as to why each of the pricing strategies should or should not be used is also given, showing analysis. In the final paragraph there are some evaluative comments but these are not fully developed, and so the response cannot reach the top of the level.

Exemplar response B



Pricing strategies are very important for a firm as customers want good quality products at low prices. If prices are too high they may purchase their items elsewhere.

Tata Motor Company should consider choosing cost plus pricing strategy. This will be beneficial to Tata Motor company as it ensures that their cost of producing the cars are covered. This is also a much easier method as only a percentage needs to be added on total costs.

Promotional pricing may not be the best pricing strategy because when providing discounts and sales to consumers the company may lose out as they need to sell their cars at lower prices now. Therefore it may have a financial impact on the business.

However, although cost plus pricing may seem like the best pricing strategy it ignores market conditions. This means that it does not take into account the prices of competition. Therefore if other car company prices are low Tata Motor company may lose out on customers.

Examiner's comments:

This response was given Level 2 – 4 marks.

The response has made sound application of the knowledge of the pricing strategies that could be used. The comment that cost is covered shows application, and a valid point made.

In the third paragraph, the response comments on option 2 and the fact that if the company does not use this method they may lose customers. This demonstrates application.

In the final paragraph, the comment that cost plus pricing seems to be the best pricing strategy because it ignores market conditions is evidence of analysis; this is developed further by the reference to not taking the competition's prices into account. This moves the response to the bottom of Level 2. To gain a higher level, the response would have to include some consequences of using each method in relation to other businesses. The candidate could also comment on the impact on the business itself, if it continues to use one method as opposed to another.

Question 3(e)

Tata Motor Company gathers data to help it promote its vehicles. It is considering **two** options.

Option 1: primary research
Option 2: secondary research.

Justify which **one** of these two options *Tata Motor Company* should use.

Mark scheme

Question Number	Indicative content	Mark
3(e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – you are able to obtain the information directly from the people about the cars they want and the price they are prepared to pay. • **Option 2** – secondary research is much easier to collate from other car manufacturing websites and reports. **AO3** • **Option 1** – this helps *Tata Motor Company* gather information that is relevant and can help in designing and pricing the next cars to be manufactured. • **Option 2** – and will not take *Tata Motor Company* as long to gather the information it requires. **AO4** • **Option 1** – although gaining this information is important for *Tata Motor Company* it is very costly in time and man power. • **Option 2** – the data it collects may not provide the information it requires.	**(9)**

Exemplar response A

Tata should use primary research. This is because it provides up-to-date information about customers wants and needs. It will enable tata to produce market oriented ~~products~~ cars and hence obtain customers from day one. This will increase its revenue and ~~in~~ increase profits, consequently obtaining a higher market share. They will also fulfill their aim of producing according to needs. In addition, primary research provides confidential information as no other firm knows about it. This enables Tata to sell unique products into the firm. It can use pricing ~~strata~~ strategies like ~~prik~~ price skimming and obtain a lot of profits from its awsome cars before competitors like Mitsubishi begin producing. This monopoly power will give them enough finance as retained profits to carry out further market research. However, primary research ~~is~~ can sometimes give misleading results. Tata can incur large losses after it designs a car and it gains no market especially because huge capital costs are involved. This means it will have reduced cash flow and may even close down due to business failure.

Examiner's comments:

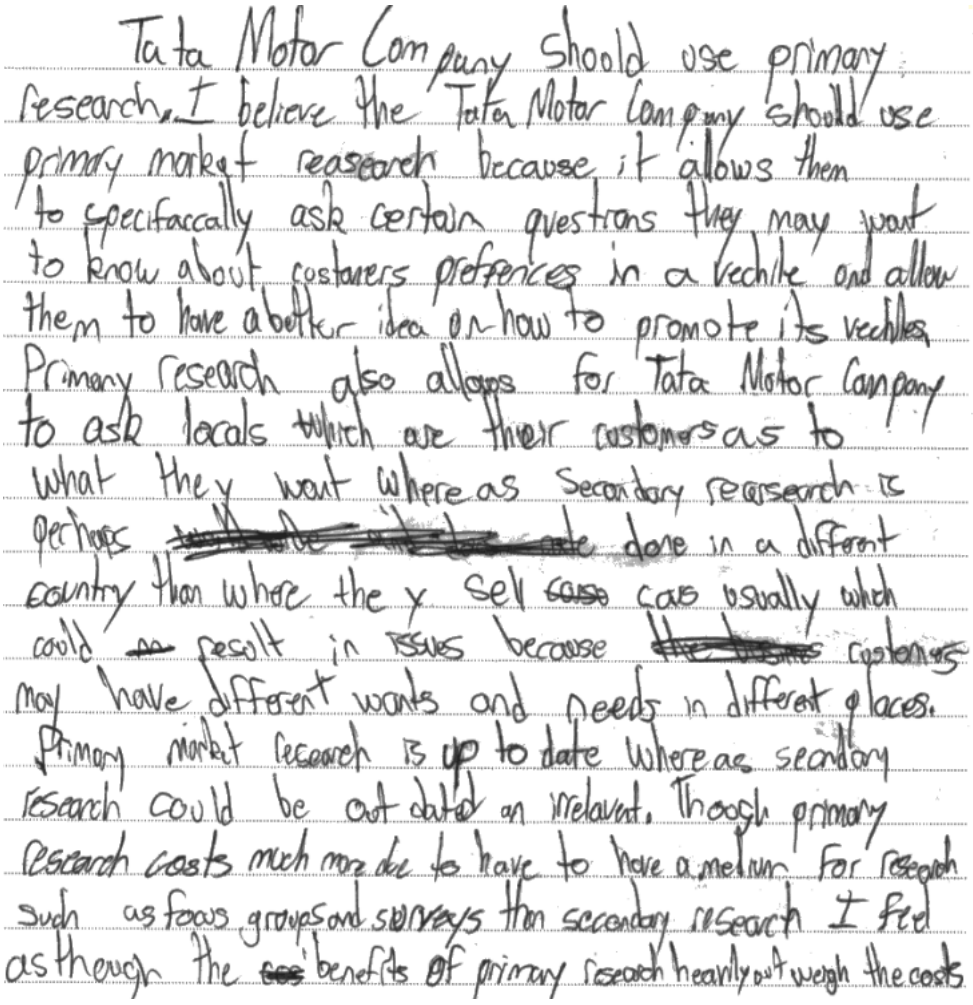
This response was given Level 2 – 6 marks.

A number of the responses seen did give a very detailed description of primary and secondary research. As mentioned, there are no knowledge marks available for this type of question. Commenting on each of the options by giving a description of what they are should be avoided. The comment on market-oriented cars is application, and the comment on fulfilling the aim of producing according to needs gives further analysis. Another application point made was that the information gained is confidential; the point is further developed by stating that this enables Tata to sell unique products.

The last paragraph comments on how primary research could give misleading information, which is a relevant point.

To move this response to the next level, the candidate could have further developed the implications of primary research and the effects on Tata, or justified why secondary research was not chosen.

Exemplar response B



Tata Motor Company should use primary research. I believe the Tata Motor Company should use primary market reasearch because it allows them to specifaccally ask certain questions they may want to know about costumers preferences in a vechile and allow them to have a better idea on how to promote its vechiles. Primary research also allows for Tata Motor Company to ask locals which are their customers as to what they want whereas Secondary research is perhaps [illegible] done in a different country than where the y sell cars usually which could result in issues because [illegible] customers may have different wants and needs in different places. Primary market research is up to date whereas secondary research could be out dated an irelavent. Though primary research costs much more do to have to have a meeting for research such as focus groups and surveys than secondary research I feel as though the benefits of primary research heavily out weigh the costs

Examiner's comments:

This response was given Level 2 – 5 marks.

This response did not always clarify the points made in sufficient detail to gain the higher level. Candidates should be aware that there are no knowledge marks allocated for this type of question and therefore comments about how the research is collected, or that secondary research could be outdated, cannot be awarded marks.

In the first paragraph the response shows a clear understanding that by using primary research Tata can get to know about their customers' preferences in vehicles. The next comment, about asking local people for their comments, is also valid and the comment that secondary research may be carried out in a different country is development. A further development point about different wants and needs in different places is also given.

If the response had developed the points further or made reference to the effect of the research and how the businesses could have used the information, it could have moved to the next level.

The response gained the middle of Level 2.

Question 4(c)

Tata Motor Company is always looking to find the right location for its new factories.

Evaluate the factors *Tata Motor Company* would have to take into account when making decisions about where to locate new factories. You should use the information provided as well as your own knowledge of business.

Mark scheme

Question Number	Indicative content	Mark
4(c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • Finding a location that has a skilled labour. • Making sure that the location is accessible so that deliveries can be made. **AO2** • The *Tata Motor Company* needs a range of skilled employees, e.g. engineers and designers. • It may need to be located either near to a port or where there is easy access to motorways or railway lines so that the vehicles can be transported to their next destination. **AO3** • If they are near to the skilled labour force that is required to run the factory/operation this could reduce the overall costs of the new factory. • The factory will need a continuous supply of materials and the finished vehicle will need to be transported for sale. **AO4** • By locating near a skilled labour force, the cost of land/infrastructure may be higher thereby adding to the cost of the location • Infrastructure is one of many factors affecting the choice of location and other factors may be more important.	**(12)**

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Exemplar response A

Tata Motor company should consider a range of factors before it locates. The cost of land should be the first, the owners should look for a land that is cheap and safe to use. It shouldn't have any form of pollution as well as should make sure its not privately owned and to not take away the land forcefully. The resources the land has should also be seen if they are valuable e.g. raw materials stored in them he should consider taking them. Cost and availability of labour should also be considered. He should be able to locate the factories in a place where it is easy to find labour and should be cheap. Having expensive labour means that he is paying too many additional costs and could lead to excessive costs of the business. The labour could also be chosen according to skills, if the area has poor skills it makes it difficult for the business to run effectively as they may spend too much time locating the right labour. Moreover, Proximity to the market is also important and therefore the business should make sure they locate it in a place whereby they are able to easily take the finished goods to the owners to sell. If the business is too far ~~the~~ it will make it harder to take those goods or to supply the goods to the market. They should also consider the rate of pollution flowing from these buildings and they should therefore construct in an area whereby it is near to the market but also does not cause any harm to the environment. Transport is a major contribution and should be considered when locating. The business should choose an area whereby he could easily in a fast manner without

causing damage to the products as they are coming straight from the factories. Lighting, heating and other costs such as salaries and rent should be considered. Some governments keep constraints whereby higher taxes and strict legislations are put into certain areas. The business should not locate their building or factory in an area whereby they may have to pay higher taxes this will reduce the amount of revenue as well as profits that they have. To conclude, the business should be very careful when forming a place to locate their factory as it is important. Costs should be minimised and areas of high, cheap machinery as well as a place where the factory is beneficial to the business. If it is international the business should consider the trade barriers and language barriers. Financial incentives should also be noticed. The business should choose the best and most suitable place for their factory so they can produce well.

Examiner's comments:

This response was given Level 2 – 8 marks.

The response makes some very valid and relevant points, however some of them have not been developed sufficiently to move the response from Level 2 to Level 3.

There are some comments made that are irrelevant to the question and although candidates are not marked on their English ability, the response refers quite often to Tata Motor Company as 'he', which should be avoided. The comment about land being privately owned is irrelevant, as is the point that any items stored there should be kept.

The response demonstrates numerous knowledge and application points but often these are not developed or evaluated sufficiently to achieve a higher level.

Knowledge points include: land that is cheap and safe to use; no pollution; and the availability of labour. Some of these points are then developed further; for example, that the labour should be cheap. They expand on this by saying that paying too much could lead to excess costs for the business.

Noting that the labour could also be chosen according to skills, and that the area having poor skills can make it difficult for the business to run effectively, is further evidence of application.

However, the response does not evaluate the comments sufficiently to move it into Level 3.

Exemplar response B

One factor is how good the public transport is. The workers should be able to get there as fast as possible. As a result, there might be less Late employees.

Another factor is the social type of the region. More old people might be against building the factorie This is bad because the pollution of air would have a negative impact on them. This leads to relocation of the factory.

The cost of rent is also important. Tata Motor would need to find a big, but not expensive area for the car manufacturing. This would lead to lower fixed costs.

The country's laws can affect the location. The laws in some countries can be to strick and wouldn't be suitable for an effective industry growth. This leads to finding a new location or trying to manage with them.

In conclusion, the right choice of car factories location could help Tata Motor Company to reduce it costs, save the time on to find new partners. But the success of them depends on how many available land for the big factories there are and how the locals would react on it.

Examiner's comments:

This response was given Level 2 – 7 marks.

This response again gives lots of different reasons for where the factory should be located, but there is very limited analysis and evaluation, hence Level 2.

The comment about workers getting there fast is relevant and worthy of a mark, and further application is that they would not be late for work.

The comment about air pollution having a negative impact on the people is analysis and worthy of a mark.

Another factor worthy of marks is the comment about the rent not being too expensive for the manufacture of cars.

The final paragraph gives basic evaluative comments about how finding the right location could help Tata Motor Company to reduce its costs.

If the response had further developed each of the points made and related them to how the business would be affected, it could have moved into a higher level.

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Question 1(g) (Paper 2R)

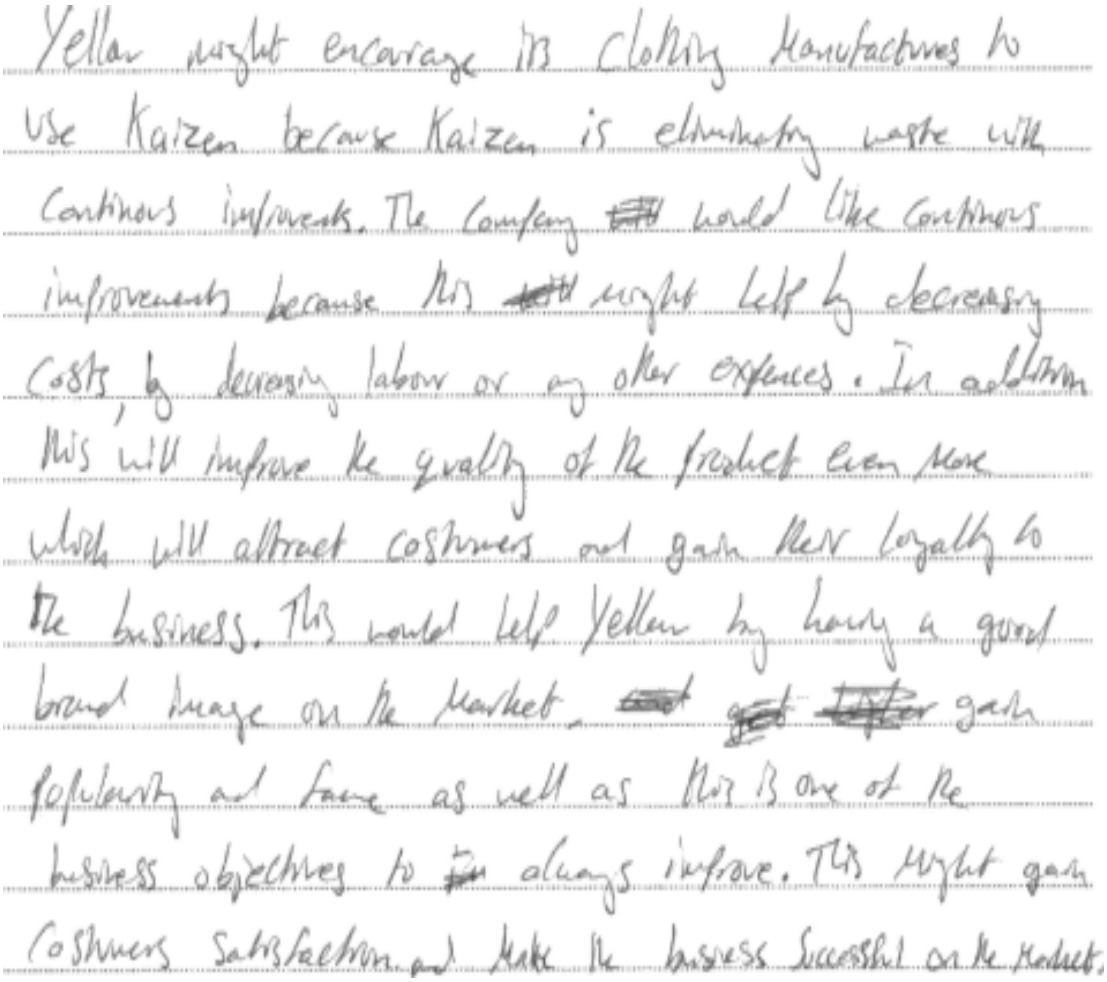
Analyse why *Yellow* might encourage its clothing manufacturers to use Kaizen.

Mark scheme

Question Number	Indicative content	Mark
1(g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** ● The quality of the T-shirts will be better. ● Reduction in costs of making the T-shirts. **AO3** ● *Yellow*'s reputation will be enhanced leading to higher sales. ● There will be fewer returns of T-shirts, which could lead to increased profitability for the manufacturer.	**(6)**

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Exemplar response A



Yellow might encourage its clothing Manufacturers to use Kaizen because Kaizen is eliminating waste with Continous improvements. The Company would like Continuous improvements because this might help by decreasing costs, by decreasing labour or any other expences. In addition this will improve the quality of the product even more which will attract costumers and gain their loyalty to the business. This would help Yellow by having a good brand image on the market, and gain popularity and fame as well as this is one of the business objectives to always improve. This might gain Costumers Satisfaction and make the business successful on the market.

Examiner's comments:

This response was given Level 3 – 5 marks.

Many of the responses that were seen for this question answered from the perspective of the business that manufactures the clothes and then gave the many benefits of Kaizen. The question asked why Yellow might encourage its clothing manufacturers to use Kaizen, so therefore the response should be in the context of Yellow and not the manufacturer.

This particular response is related to the benefits of Yellow. The comments about costs decreasing as there would be less waste, and that it would improve the quality of the product, are both relevant application to the question. This is then further developed by noting that the brand image would be improved.

To have moved into the top of Level 3, the response could have included something with regard to how a benefit of using this method might be improved customer satisfaction, which could increase sales.

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Exemplar response B

Kaizen is the continuous improvement of goods. Yellow might want its clothing manufacturers to use it since it decreases the waste made by the company which would decrease the costs the company spends. Also, customers will be happy since Yellow is continuously improving their products making them better which will lead to customer satisfaction. If customer's are satisfied with the product more people would also want to start purchasing from them which would also lead to more customers being loyal to Yellow & more ~~the~~ people would want to buy their new products.

Examiner's comments:

This response was given Level 2 – 4 marks.

A number of candidates when answering this question gave detailed descriptions of Kaizen and how it works, and how the business uses it. Unfortunately there were no knowledge marks available for this question, as it asked how Yellow would encourage its clothing manufacturers to use Kaizen.

The comments made about decreasing waste and a decrease in costs for the company are application, and worthy of marks. The response then develops the comments by mentioning that if customers are satisfied they are more likely to want to purchase, and this is then further developed by the comment about customers being loyal to Yellow. To move this response into Level 3, the candidate could have developed the comments made about customers returning to Yellow to purchase more products and telling their friends and family about the products and how good they are. Alternatively, a comment could have been made about customer satisfaction increasing the status of Yellow as a business that provides quality products.